

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 03 MONTHS PERIOD ENDED JUNE 30, 2023

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 JUNE 2023

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter/period ended 30 June	COMPANY AND INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Revenue	3,326,740	3,520,565	3,326,740	3,520,565
Cost of sales	(2,563,200)	(2,447,356)	(2,563,200)	(2,447,356)
Gross profit	763,541	1,073,209	763,541	1,073,209
Other income	16,183	4,606	16,183	4,606
Distribution expenses	(164,094)	(152,191)	(164,094)	(152,191)
Administrative expenses	(110,927)	(82,561)	(110,927)	(82,561)
Profit from operations	504,702	843,063	504,702	843,063
Finance income	130,217	440,253	130,217	440,253
Finance expenses	(191,326)	(11,479)	(191,326)	(11,479)
Net finance income/(expenses)	(61,109)	428,775	(61,109)	428,775
Share of loss on equity accounted investee, net of tax	(639)	(574)	-	-
Profit before tax	442,954	1,271,263	443,593	1,271,837
Income tax expense	(149,875)	(228,931)	(149,875)	(228,931)
Profit for the period	293,079	1,042,333	293,718	1,042,907
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	293,079	1,042,333	293,718	1,042,907
Earnings per share -Rs.	13.44	47.81	13.47	47.84
Market value per share				
Highest price-Rs.			285.00	284.00
Lowest price-Rs.			231.00	98.10
Last traded price-Rs.			280.00	178.50
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 June	As at 31 March	As at 30 June	As at 31 March
	2023 Rs.000	2023 Rs.000	2023 Rs.000	2023 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,141,413	1,158,261	1,141,413	1,158,261
Investment property	722,000	722,000	722,000	722,000
Right-of-use assets	2,009	2,232	2,009	2,232
Investment in equity accounted investee	70,854	71,493	51,200	51,200
	1,936,276	1,953,987	1,916,622	1,933,694
CURRENT ASSETS				
Inventories	2,233,083	2,806,149	2,233,083	2,806,149
Trade and other receivables	1,785,682	1,053,243	1,785,682	1,053,243
Amount due from related companies	419,147	719,570	419,147	719,570
Value added tax recoverable	750,668	782,114	750,668	782,114
Deposits and prepayments	25,795	22,657	25,795	22,657
Investment in fixed deposits	3,165,628	2,877,942	3,165,628	2,877,942
Cash and cash equivalents	1,370,346	1,350,437	1,370,346	1,350,437
	9,750,349	9,612,112	9,750,349	9,612,112
TOTAL ASSETS	11,686,625	11,566,099	11,666,971	11,545,805
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	592,491	592,491	522,620	522,620
General reserves	431,136	431,136	431,136	431,136
Retained earnings	8,386,144	8,093,065	8,436,360	8,142,642
	9,627,771	9,334,692	9,608,117	9,314,398
NON-CURRENT LIABILITIES				
Employee benefits	158,314	152,619	158,314	152,619
Deferred taxation	139,237	139,237	139,237	139,237
Interest bearing borrowings	44,939	83,994	44,939	83,994
	342,491	375,851	342,491	375,851
CURRENT LIABILITIES				
Trade and other payables	381,010	444,363	381,010	444,363
Amount due to related companies	271,829	314,558	271,829	314,558
Current tax payables	752,829	869,440	752,829	869,440
Unclaimed dividends	12,043	12,043	12,043	12,043
Interest bearing borrowings	155,826	155,651	155,826	155,651
Bank overdrafts	142,828	59,501	142,828	59,501
	1,716,364	1,855,556	1,716,364	1,855,556
TOTAL LIABILITIES	2,058,854	2,231,407	2,058,854	2,231,407
TOTAL EQUITY AND LIABILITIES	11,686,625	11,566,099	11,666,971	11,545,805
Net asset per share (Rs.)	441.64	428.20	440.74	427.27

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Sgd.
Ms. Hemamala Karunasekara
Chief Financial Officer

Sgd.
Mahinda Saranapala
Managing Director

Sgd.
U. G. Madanayake
Chairman

August 14, 2023
Colombo

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 JUNE 2023

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Comprehensive income for the period					
Profit for the period				1,042,333	1,042,333
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,042,333	1,042,333
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2022	218,000	592,491	431,136	6,521,359	7,762,986
Balance as at 1 April 2023	218,000	592,491	431,136	8,093,065	9,334,692
Comprehensive income for the period					
Profit for the period	-	-	-	293,079	293,079
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	293,079	293,079
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2023	218,000	592,491	431,136	8,386,144	9,627,771

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
Comprehensive income for the period					
Profit for the period				1,042,907	1,042,907
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,042,907	1,042,907
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2022	218,000	522,620	431,136	6,567,871	7,739,628
Balance as at 1 April 2023	218,000	522,620	431,136	8,142,642	9,314,398
Comprehensive income for the period					
Profit for the period	-	-	-	293,718	293,718
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	293,718	293,718
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2023	218,000	522,620	431,136	8,436,360	9,608,117

STATEMENT OF CASH FLOWS

For the quarter/period ended 30 June	COMPANY & INVESTEE		COMPANY	
	2023 Rs.000	2022 Rs.000	2023 Rs.000	2022 Rs.000
Cash flow from operating activities				
Profit before tax	442,954	1,271,263	443,593	1,271,837
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	639	574	-	-
Interest income	(130,217)	(83,054)	(130,217)	(83,054)
Interest expense	5,323	11,479	5,323	11,479
Depreciation of property, plant and equipment	22,594	25,392	22,594	25,392
Amortization of right-of-use assets	223	223	223	223
Provision/ (provision) for obsolete and slow moving inventories	9,515	(5,779)	9,515	(5,779)
Unrealized exchange loss/(gain) on investment in fixed deposits	92,356	-	92,356	-
Gain on disposal of property, plant and equipment	(17)	-	(17)	-
Provision for employee benefits	8,045	7,313	8,045	7,313
Operating profit before working capital changes	451,415	1,227,412	451,415	1,227,412
Changes in working capital				
Decrease/(increase) in inventories	563,551	(13,563)	563,551	(13,563)
Decrease/(increase) in trade and other receivables	(732,440)	570,021	(732,440)	570,021
Decrease/(increase) in amount due from related companies	300,423	(55,209)	300,423	(55,209)
Decrease/(increase) in deposits and prepayments and value added tax recoverable	28,308	(34,004)	28,308	(34,004)
Decrease in trade and other payables	(63,353)	(2,407,068)	(63,353)	(2,407,068)
Decrease in amount due to related parties	(42,729)	(53,869)	(42,729)	(53,869)
Cash generated from/(used in) operations	505,175	(766,281)	505,175	(766,281)
Gratuity paid	(2,350)	(2,833)	(2,350)	(2,833)
Current tax paid	(266,486)	(24,029)	(266,486)	(24,029)
Interest paid	(5,323)	(11,479)	(5,323)	(11,479)
Net cash generated from/(used in) operating activities	231,016	(804,621)	231,016	(804,621)
Cash flow from investing activities				
Proceeds from disposal of property, plant and equipment	17	-	17	-
Acquisition of property, plant and equipment	(5,746)	(8,180)	(5,746)	(8,180)
Investment in fixed deposits	(380,042)	-	(380,042)	-
Interest received	130,217	83,054	130,217	83,054
Net cash generated from/(used in) investing activities	(255,553)	74,874	(255,553)	74,874
Cash flow from financing activities				
Dividend paid	-	(3)	-	(3)
Lease payments	(221)	(194)	(221)	(194)
Loans repayments during the period	(38,660)	(39,439)	(38,660)	(39,439)
Net Cash used in financing activities	(38,881)	(39,636)	(38,881)	(39,636)
Net increase/(decrease) in cash and cash equivalents	(63,418)	(769,383)	(63,418)	(769,383)
Cash and cash equivalents at beginning of the period	1,290,936	3,838,669	1,290,936	3,838,669
Cash and cash equivalents at the end of the period	1,227,518	3,069,286	1,227,518	3,069,286

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31st March 2022 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 30 June 2023 on guarantees given to third parties amounted to Rs.202,589,271/-.
- Finance expenses for the period include exchange loss on foreign currency translation of the period amounting to Rs.186,002,893/-.
- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2023 amounting to Rs. 141.7 Mn. on July 28, 2023 which is to be paid on 29th August 2023.
- As the statutory audit on the financial statements for the year ended 31st March 2023 has not been finalised, the comparative figures for the period ended 31st March 2023, published in the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and the Statement of Financial Position of the financial statements are unaudited and subject to change.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.

- The number of shares held by the Board of Directors are as follows :

		As at 30 June 2023		As at 30 June 2022	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mr. Mahinda Saranapala	- Managing Director	-		-	
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 June 2023	4,399,696	20.2%	2671
Float adjusted market capitalization (Rs.)	1,231,914,880		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

- 20 Largest Shareholders of the Company as at 30 June 2023 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 National Savings Bank	170,000	0.78%
4 Bank of Ceylon-No 2 A/C (BOC PTF)	117,918	0.54%
5 Employees Trust Fund Board	116,285	0.53%
6 Frontier Wealth (Pvt) Ltd	112,905	0.52%
7 Hatton National Bank PLC/Hennasy Geeth	109,710	0.50%
8 Thaha I. M.	103,500	0.47%
9 Hatton National Bank PLC-Astrue Alpha Fund	96,782	0.44%
10 DFCC Bank PLC A/C No. 02	87,450	0.40%
11 Ceylinco Shiram Capital Management Services	76,600	0.35%
12 Saraswathi V. and Vasudevan S.	63,944	0.29%
13 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
14 Madanayake H. A. S.	61,000	0.28%
15 Ratnasabapathy M. R.	57,989	0.27%
16 Madanayake U. G.	56,200	0.26%
17 Mayakaduwa J. K.	54,000	0.25%
18 Hatton National Bank PLC/Muhandiramge L.	48,463	0.22%
19 People's Leasing & Finance PLC/Mr.S. Sivashanth	47,000	0.22%
20 Merchant Bank of Sri Lanka & Finance PLC	45,638	0.21%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC